

Divis Laboratories Ltd

DIVISLAB | Healthcare

ROE	ROCE	OPM
11.8%	19.1%	28.2%
D/E Ratio	Interest Coverage	EPS
0.00	636.2x	■60.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■7,845	■1,600
2023-03	■7,767	■1,824
2022-03	■8,960	■2,960
2021-03	■6,969	■1,984
2020-03	■5,394	■1,377

Cash Flow Intelligence

Metric	Value
CFO Quality	Moderate
CapEx Intensity	Moderate
Capital Allocation	Self-Sufficient Growth
FCF 5Y CAGR	-3.3%
Distress Flag	No

✓ Investment Strengths (Pros)

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow

■ Investment Concerns (Cons)

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability